

The division of Germany as well as its reunification are among the most important political events of the 20th century. Over the last twenty years, various economists and political scientists have thus studied the consequences of these events. This seminar provides an overview of empirical research on this topic. Various sub-areas of economics are touched, especially labor economics, behavioral economics, gender economics, and political economy. From a methodological perspective, the handling of causal inference procedures is strengthened.

Basic information

In addition to a general interest in the topic, participants should have basic knowledge in the field of applied microeconometrics. The ability to understand research articles in English is also required. The examination will consist of a presentation (50%) and a term paper (30%). Active participation in discussions will also be taken into account in the assessment (20%). The course language is English. The dates of the seminar will be:

- 28.04.2025 (9:30 – 13:00),
- 05.05.2025 (9:30 – 13:00),
- 30.06.2005 (9:30 – 13:30),
- 07.07.2025 (9:30 – 13:30).

Attendance is required for all sessions. The number of participants is limited. Please send questions to tommy.krieger@zew.de.

Literature

Introduction

- Becker, Mergele, & Woessmann (2020). The separation and reunification of Germany: Rethinking a natural experiment interpretation of the enduring effects of communism. *Journal of Economic Perspectives*, 34(2), 143-171.
- Fuchs-Schündeln & Schündeln (2020). The long-term effects of communism in Eastern Europe. *Journal of Economic Perspectives*, 34(2), 172-191.

Focus reading

1. Alesina & Fuchs-Schündeln (2007). Good-bye Lenin (or not?): The effect of communism on people's preferences. *American Economic Review*, 97(4), 1507-1528.
2. Burchardi & Hassan (2013). The economic impact of social ties: Evidence from German reunification. *Quarterly Journal of Economics*, 128(3), 1219-1271.
3. Bursztyn & Cantoni (2016). A tear in the iron curtain: The impact of western television on consumption behavior. *Review of Economics and Statistics*, 98(1), 25-41.
4. Fuchs-Schündeln & Masella (2016). Long-lasting effects of socialist education. *Review of Economics and Statistics*, 98(3), 428-441.
5. Horz & Marbach (2022). Economic opportunities, emigration and exit prisoners. *British Journal of Political Science*, 52(1), 21-40.
6. Jessen, Schmitz & Weinhardt(2024). Immigration, female labour supply and local cultural norms. *Economic Journal*, 134(659), 1146-1172.
7. Lichter, Löffler & Siegloch (2021). The long-term costs of government surveillance: Insights from Stasi spying in East Germany. *Journal of the European Economic Association*, 19(2), 741-789.

8. Lippmann, Georgieff & Senik (2020). Undoing gender with institutions: Lessons from the German division and reunification. *Economic Journal*, 130(629), 1445-1470.
9. Lippmann & Senik (2018). Math, girls and socialism. *Journal of Comparative Economics*, 46(3), 874-888.
10. Martinez, Jessen & Xu (2023). A glimpse of freedom: Allied occupation and political resistance in East Germany. *American Economic Journal: Applied Economics*, 15(1), 68-106.
11. Mergele, Hennicke & Lubczyk (2025). The big sell: Privatizing East Germany's economy. *Journal of Public Economics*, 242, 105291.
12. Mohr (2023). Carrots and sticks: Targeting the opposition in an autocratic regime. *ECONtribute Discussion Paper*.
13. Redding & Sturm (2008). The costs of remoteness: Evidence from German division and reunification. *American Economic Review*, 98(5), 1766-1797.